

Calderwood Partners LLC

www.calderwoodpartners.com

May 11, 2012

Mark Villegas
Chief Financial Officer
Garcia-Werner

Re: Market Entry Assessment

Dear Mr. Villegas:

This letter confirms the terms on which Calderwood Partners will carry out a market entry assessment for Garcia-Werner, and it becomes our agreement once you have countersigned it. The question you have put to us is a single one: whether the new market you are weighing is worth entering, and, if it is, on what terms and by which route. It follows our conversations this spring and the internal figures your finance group sent through afterward. Below I set out what we will examine, how we will go about it, who will do the work, and the commercial terms that govern it.

Scope of the Assessment

The assessment answers three questions, in order. The first is how large and how attractive the market actually is: its size today, the pace at which it is growing, and the margins earned by the companies already in it. The second is where you would stand on entering it: which competitors hold which ground, what a customer in that market buys and why, and where a company with your capabilities could win business rather than merely take part in it. The third is how you should enter, if the case supports entering at all: by building from your own base, by acquiring a position, or by partnering into one, each route weighed on cost, on speed, and on risk. You will receive a recommendation, not a set of choices left open.

Some matters sit outside this work and can be taken up separately if you decide you want them. We will size the opportunity and recommend a way into it; we will not negotiate an acquisition, approach a prospective partner in your name, or build the operating plan that a decision to enter would eventually call for. Neither do we advise on the tax or financing structure of any transaction. Where the assessment runs up against a question we have not been engaged to answer, we will say so plainly instead of answering it by assumption.

How We Will Work

We work from your own numbers and from the market as it stands, not from a template carried in from some other engagement. Work begins on May 21, 2012, and we expect the assessment to run about three months from that point. In the opening weeks we build the market picture from published data, from

industry sources, and from interviews we conduct ourselves, and we set it beside your internal figures so that every number we later put in front of you can be traced to one your own people already recognize. From that base we frame the entry options and test each of them before it reaches you as a recommendation. You will see our thinking as it develops; nothing of consequence will arrive as a surprise at the end.

The work depends on timely access to your internal figures and to the people who understand them. We will send a specific, itemized data request in the first week and will keep it as short as the questions allow. Where a figure is hard to produce in the form we ask for, tell us, and we will find another route to it instead of holding up the schedule waiting on it.

Who Will Do the Work

Jason Torres, Principal, leads the assessment and is your point of contact for scope, schedule, and findings; he is the one to call when a question will not keep. James Green, Senior Associate, carries the data and the analysis, and is the person your finance staff will deal with directly on the numbers. Deborah Gordon, Associate, leads the synthesis and the drafting of what we conclude. I review the analysis and the recommendation before either reaches you, and I am accountable to you for the quality of both.

Fees and Payment

Our fee for the assessment is \$69,500, fixed for the scope set out above. We invoice monthly for the work performed in the preceding month, and each invoice falls due within thirty days of its date. Reasonable travel and out-of-pocket costs are billed at cost and shown separately from the fee. Work beyond this scope is not begun on assumption; should you ask us for something this letter does not cover, we will price it and agree it with you before we start.

Term and Termination

This agreement takes effect on the date you sign below and continues until we deliver the final assessment and you have settled the final invoice. Either party may end it on thirty days' written notice to the other. On termination you will pay us for the work performed and the expenses incurred through the effective date, and we will hand over our work product as it then stands, together with a short written account of where the assessment had reached.

Confidentiality

We will hold the information you give us in confidence and use it only for this assessment. Access is limited to the team named above and to those in our office whose work requires it. We will not disclose your information outside the firm without your written consent, save where a court or a regulator with jurisdiction compels it, and in that event we will tell you first if we are permitted to. The obligation continues after the engagement has ended.

Limitation of Liability

Our liability to you arising out of this engagement, whether framed in contract or in tort, will not exceed the total fees you pay us under it, except in the case of our fraud or willful misconduct. Neither party will be liable to the other for indirect or consequential loss, including lost profits, whether or not the possibility was made known. Our conclusions rest on the accuracy and completeness of the information you provide and of the market data available to us; we will test what we reasonably can, but we do not audit either.

Governing Law

This agreement is governed by the laws of the state in which our principal office is located, without regard to its conflict-of-laws rules. Should a dispute arise, senior representatives of the two sides will attempt to settle it in discussion before either party begins proceedings. This letter is the entire agreement between us on its subject, and it may be amended only in a writing signed by both.

If these terms match your understanding, please countersign both copies, keep one for your records, and return the other to me. If any of them does not, telephone me and we will settle it before you sign. We are glad to be taking on this work, and the team looks forward to getting started with your people at Garcia-Werner.

Very truly yours,

Julie Ramsey

Managing Principal

Date: May 11, 2012

Mark Villegas

Chief Financial Officer, Garcia-Werner

Date: May 11, 2012